Brazil Macro Monthly

Global risks increase

Highlights

- The global economic outlook deteriorated with lockdown measures in China, war in Ukraine, and tighter financial conditions. Nevertheless, a recession still seems unlikely;
- The inflation outlook keeps worsening. We forecast IPCA inflation at 7.4% this year. But if some risks materialize, it could easily reach 9%. For 2023 we expect 4.0%;
- Domestic activity performed above expectations in Q1. We project a 0.8% increase for 2022 GDP, with a slight upward bias. Economic growth in 2023 should be weaker (0.5%), in the wake of the contractionary monetary policy;
- The BRL (as other EM currencies) weakened in April, reflecting global monetary tightening and lockdowns in China. We keep our 5.0 reais per dollar forecast for 2022 yearend, and 5.3 for 2023;
- Short-term results support a fiscal surplus of 0.2% for public sector and a drop in public debt from 80.3% to 79.5% of GDP this year. However, we keep our view that medium-term fiscal sustainability is still fragile;
- The central bank seems to be targeting the Selic rate at 13.25% / 13.50%, but the outlook for inflation will remain challenging. Thus, we keep our forecast of a terminal Selic rate at 13.75% and see room for an easing cycle only after 23Q1.

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XP Forecasts

	2018	2019	2020	2021 (F)	2022 (F)	2023 (F)
GDP growth (%)	1.8	1.2	-3.9	4.6	0.8	0.5
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	10.0	9.6
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	7.4	4.0
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	8.75
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.00	5.30
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.5	0.7	0.2	-0.2
Gross debt (% GDP)	75.3	74.3	88.8	80.3	79.5	83.6
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	64.6	47.0
Exports (USD Bn)	231.9	221.1	209.2	280.8	329.7	333.4
Imports (USD Bn)	185.3	185.9	158.8	219.4	265.1	286.4
Current Account (USD Bn)	-51.5	-65.0	-24.5	-28.1	-20.7	-36.3
Current Account (% GDP)	-2.7	-3.5	-1.7	-1.7	-1.2	-2.0
FDI (USD Bn)	78.2	69.2	44.7	46.4	55.0	65.0
FDI (% GDP)	4.1	3.7	2.9	2.9	3.1	3.5
Nominal GDP (USD Tri)	1.80	1.83	1.43	1.55	1.90	1.88
Nominal GDP (BRL Tri)	7.00	7.38	7.46	8.67	9.48	9.95

Source: IBGE, BCB, Bloomberg, XP.

Foreword: Widespread risks indicate that volatility should continue

Cost shocks continue to mount around the world. Prolonged war in Ukraine puts pressure on basic materials. The fresh and severe lockdowns in China deepen global supply chains problems.

As a result, global inflation continues at high levels, which jeopardizes the anchoring of longer-term expectations. The longer current inflation remains high, the greater the chance that economic agents will believe that it is permanent (and adjust prices accordingly).

It makes central banks' task harder. Against this backdrop, interest rates are likely to rise more than expected in many parts of the world – for example, some analysts are already predicting US Fed Funds rate above 5% – raising the risk of a global recession in 2023.

Brazil has also been affected by this scenario, which could take IPCA inflation this year to above 9% (we currently forecast 7.4%). We understand that the central bank will extend the tightening cycle until June, and we recently reduced our GDP growth forecast for 2023.

But what should really start to heat up in Brazil from now on is the electoral debate. Leading candidates are beginning to outline their economic views for the next presidential term. On both sides, there seems to be a willing to make the spending cap more flexible. It is risky, considering that Brazilian public debt remain elevated compared to other emerging markets and short-term gains are cyclical.

In short, both abroad and domestically, we can expect (even more) volatility in the financial markets in the coming months.

Global Backdrop: Risks increase with war, China, and higher rates

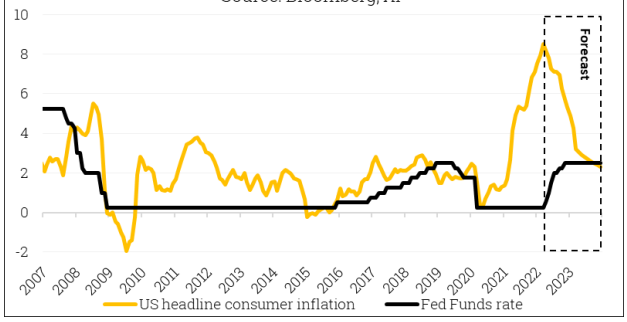
In China, increased lockdown risks may have spillover effects worldwide. With the number of new Covid cases still high, strict lockdown measures in China takes central stake, as it may lead to further supply chain disruptions in the coming months. With the persistence of the zero covid policy, the 5.5% growth target becomes unachievable, and we have revised our 2022 growth forecast to 4.5%. The Chinese central bank (PBoC) has responded by announcing that it would provide economic support. We continue to expect a materially increase in monetary and fiscal stimulus throughout the year.

The war in Ukraine continues to pressure oil prices
WTI price, in USD. Source: Bloomberg, XP.

The geopolitical conflict between Russia and Ukraine is still on the radar. Commodity prices continue pressured worldwide, especially energy. Brent prices have fluctuated around USD 100 and USD 115 in April, while we believe that prices can fall to around USD 90 if there is a resolution in the war.

Inflation in the US continued to rise, though March print was not all bad. In line with market expectations, headline inflation increased to 8.5% y/y – its highest level in 40 years. Nevertheless, the core measure (excluding food and energy) increased to 6.5% y/y, below market expectation. We believe that both headline and core inflation have now peaked and will fall throughout the year. On our baseline scenario, which considers that the intensity of the war in Ukraine remains stable, headline inflation should ease to around 5-5.5% towards the end of 2022 and converge to the 2% target in 2023. Still, risks are tilted to the upside.

Inflation in the US is expected ease on the horizon and the Fed will not take interest rates north of 2.5%
Source: Bloomberg, XP



Two more 50 bps hikes followed by two 25 bps. The Fed has turned more hawkish on their latest statements, demonstrating increased worries with the persistence of high inflation and the need to front-load the tightening process. At yesterday´s meeting (04/05), the FOMC hiked 50 bps for the first time since 2000, taking interest rates to 1.0%. We expect interest rates to reach the terminal rate of 2.5% in November, after which it will remain unchanged throughout 2023 (we previously expected a terminal interest rate of 2.25% in 1Q23). Still, upside risks to inflation might lead to more aggressive rate hikes.

Economic prospects have deteriorated in the US. Due to tighter conditions and continued supply side problems, we have revised our GDP growth forecast for 2022 to 3.0% (before 3.8%), but we believe that a recession is unlikely to occur. We also downgraded our year-end SPX target price to 4,600 points (before 4,900 points). The US Treasury index has dropped significantly over the last month, and higher yields tend to correlate with a weaker PE ratio – hence the downward revision.

Brazil: Global risks increase

Inflation – High, with upside risks

Current inflation remains under pressure. IPCA inflation in 22Q1 accumulated 3.2% (the Central Bank's target for the whole year is 3.5%) and in 12 months, inflation hit 11.3%. Short-term numbers indicate that prices remain under pressure.

Global and domestic risks going forward. Globally, the war in Ukraine keeps basic materials costs under pressure, while lockdowns deepen supply chains disruptions. In Brazil, medium-term inflation expectations continue to diverge from the targets, making inflation stickier.

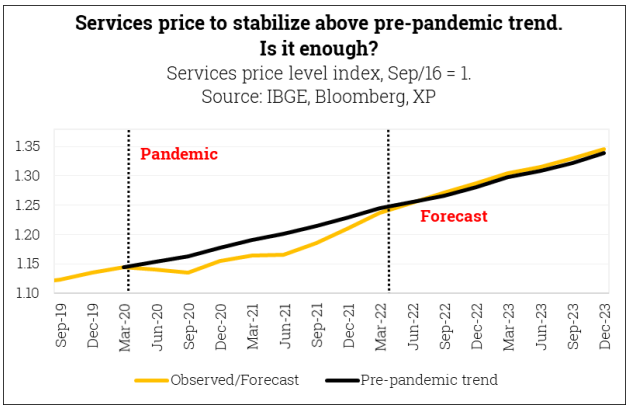
Therefore, our current forecast of 7.4% for this year end has an upward bias. How big is this bias?

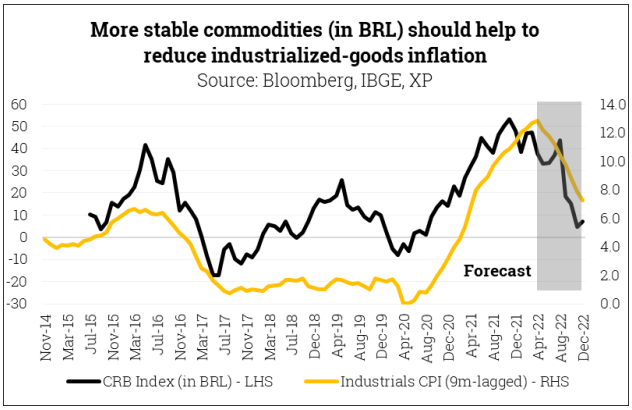
Our 'food at home' projection at 9.5% seems well calibrated. We made this projection after the war in Ukraine started. Since then, agricultural commodity prices measured in reais have stabilized. Moreover, fertilizer prices have also dropped in recent weeks. Thus, unless for an unexpected weather change, our projection for this group seems well calibrated.

For industrialized goods, on the other hand, inflation can be well above our current forecast, due to lockdowns in China. We currently forecast industrialized inflation at 7.5%, after a 12.1% rise in 2021. Industrial commodity prices in reais, which have a lagged correlation with goods inflation, are already decelerating (see chart). However, new disruptions in supply chain caused by China´s zero-Covid policy could represent another supply shock for those goods. Our simulations, based on the effects of the Covid first wave, suggest industrial goods inflation close to 10% (rather than our 7.5% figure), **adding 70 bps to our 2022 IPCA forecast.**

Services inflation is another source of risk. It has been accelerating since mid-2021, consistent with the reopening of the economy. Our current forecast of 7.4% already anticipates that prices will continue to rise and stay just above the pre-pandemic trend level (see chart). However, as production costs (including labor costs) have increased in nominal terms, it is possible that price levels for services may go beyond the pre-pandemic level. Especially if inflation expectations become more sensitive to past inflation. Our models suggest that a more "backward looking" dynamics in services prices could add around 100 bps to services inflation, or **40 bps to the headline IPCA forecast.**

Electricity and fuel are risks for regulated prices. We project 6.6% for regulated prices inflation this year. Last month, four states increased their **electricity fees** between 17% and 20%, way above forecasted (10%). If the same happens to São Paulo, which represents 32% of the country's IPCA, **it would increase our headline IPCA forecast by 14 bps**. Another source of concern is **fuel**. Domestic prices are running around 27% below international prices. If Petrobras corrects half of this difference (which would be in line with its recent practice), our **IPCA forecast would rise by 0.5pp.**





Upside risks to our forecast (Summary)	Weight	XP Forecast	Alternative Scenario
Food at home	15	9.5	9.5
Services	34	7.4	8.4
Industrials	24	7.5	10.0
Regulated prices	27	6.6	7.2
IPCA (CPI) inflation	**100**	**7.4**	**9.2**

With the materialization of all the inflation risks listed above, the 2022 year-end IPCA would be above 9% (compared to our official forecast of 7.4% today).

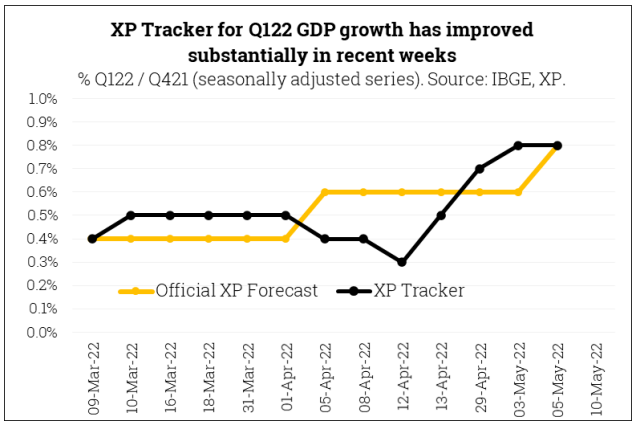
For 2023, we project inflation at 4.0%. Industrial and food inflation should fall next year once the direct effects of the shocks have dissipated. On the other hand, managed goods and services inflation will remain high next year, due to inflationary inertia.

If the abovementioned risks for 2022 materializes, the inertia for 2023 will be higher, which would jeopardize our 4.0% forecast.

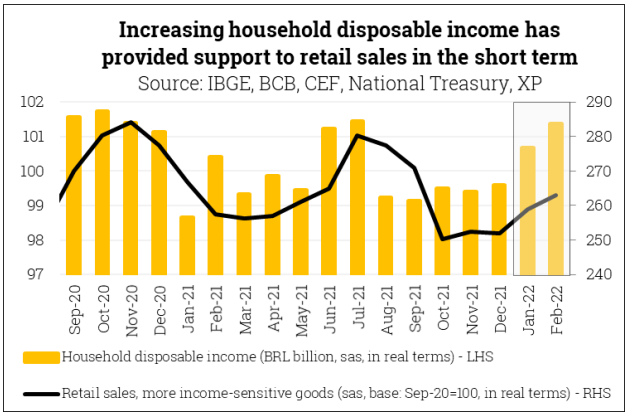
IPCA Forecast: main groups	2021	2022 (P)	2023 (P)
IPCA (CPI) %YoY	10.1	7.4	4.0
Market-set prices	7.7	7.8	2.5
Food at home	8.2	9.5	3.5
Services	4.7	7.4	4.6
Industrials	12.1	7.5	2.3
Regulated prices	17.3	6.6	5.6

Economic Activity – Stronger than expected in Q122

Brazil's GDP should have grown solidly in 1Q. Domestic activity has shown signs of resilience in recent months, driving upward revisions to 2022 GDP growth. The sharper-than-anticipated recovery in employment, both in the formal and informal categories, combined with positive effects from economic reopening (loosening health protocols to combat Covid-19) on service segments have been decisive for that dynamic, in our view. Furthermore, higher commodity prices – boosting exporting sectors – and the increase in government cash transfers also seem to have contributed to the improvement in local activity last quarter. As a result, we now estimate that total GDP expanded by 0.8% QoQ in 1Q22 (1.4% YoY). Official results will be published on June 2nd.

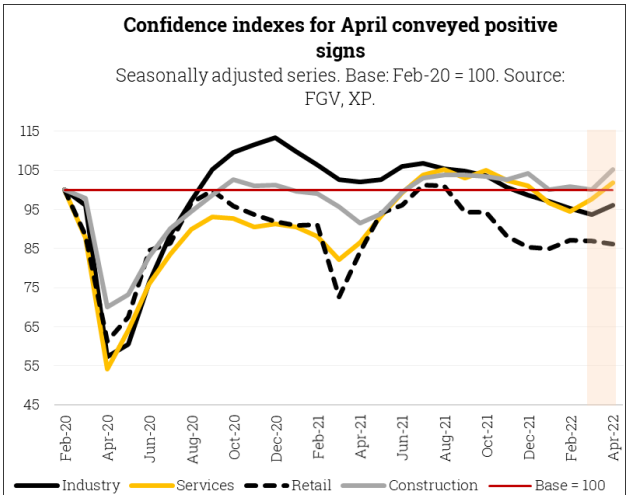


The expansion in real disposable income will likely support household consumption in the first half of 2022. Rebounding employment in tandem with recently announced government stimulus measures (e.g., release of FGTS withdrawals; prepayment of the 13th salary for retirees and pensioners) should bolster consumption this semester, despite red-hot inflation. According to our updated estimates, the real disposable income will surge circa 8% in the first half of 2022 compared to the second half of 2021, considering the seasonally adjusted series. Hence, real retail sales – especially of more income-sensitive goods – and services rendered to families are expected to remain on a moderate growth path in the short term. Additionally, consumer and business confidence indexes improved in the latest monthly readings, especially for April. As for now, we expect GDP to grow 0.3% QoQ in Q222 (2.0% YoY).



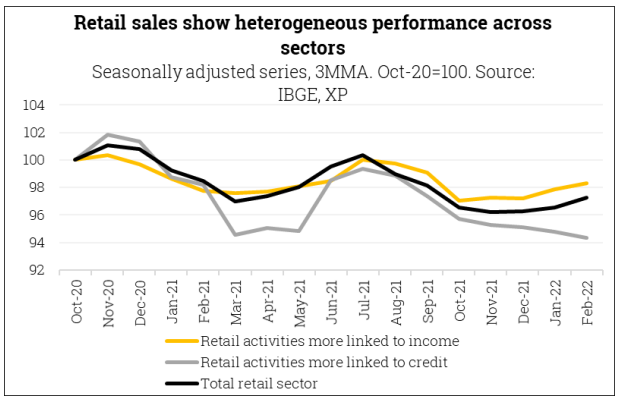
However, we maintain the view of a very challenging outlook for economic activity next semester. Tightening monetary policy is likely to have a stronger impact on internal demand from mid-year onwards, particularly on private investment and durable goods consumption. High inflation, low wages, growing household indebtedness, political uncertainties, supply chains bottlenecks (intensified by the war in Ukraine and anti-Covid measures in China) and slower growth in the global economy also weigh against Brazil's GDP – we anticipate that economic activity will shrink in both Q322 and Q422 (QoQ).

Considering the factors above, we forecast a 0.8% growth for 2022 GDP. The balance of risks around this projection is slightly tilted to the upside, given that activity data released in recent weeks – mainly for the labor market – surprised positively.



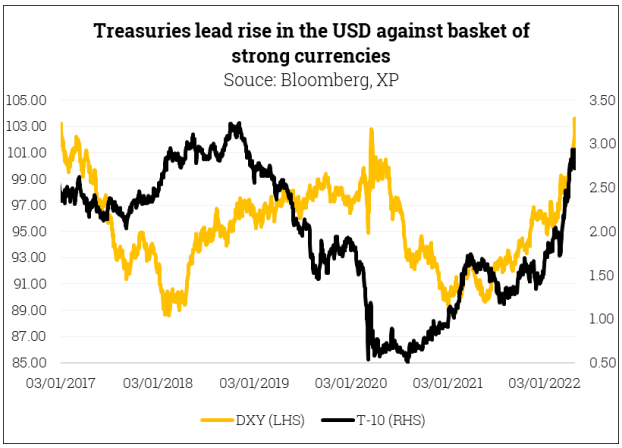
Finally, 2023 GDP growth will be timid. Contractionary monetary policy for longer, slowdown in external demand, milder pace of job recovery,

and negative statistical carry-over effect from 2022 GDP explain, to a large extent, our expectation of a 0.5% gain for 2023 GDP. This scenario assumes two crucial hypotheses: (I) the dissipation (of a large part) of the shocks caused by the pandemic and the war in Ukraine and (II) maintenance of the current fiscal framework in Brazil aiming at long-term public debt sustainability. If any of these assumptions do not prove true, the performance of economic activity in 2023 could be even more harmed.



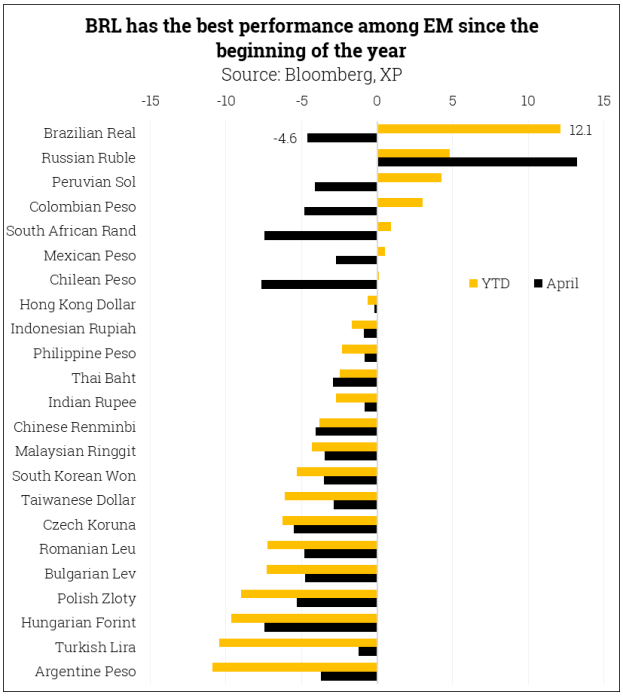
Exchange rate – BRL feels the pressure from the Fed

The Brazilian Real weakened 4.6% in April, partially offsetting the appreciation trend seen since January. The movement reflected a more challenging environment for emerging currencies in general. Among 23 selected EM currencies, only the ruble strengthened last month. The real performed slightly worse than the average for its pairs. Year to date, however, the Brazilian currency stands out over the others and strengthened 12.1%.



This worse environment was triggered by the Fed´s signaling of a faster-than-expected monetary tightening, and by fresh anti-Covid lockdowns in China. Financial variables that are relevant to the real worsened. For instance, the 10-year US Treasuries yield rose to around 3% (the highest level since 2018), and the DXY dollar index rose nearly 5% in April.

Going forward, although the fundamentals indicate an appreciation of the currency to a level close to R$ 4.50 per dollar (see chart), the environment remains challenging for risky assets such as the Brazilian currency.



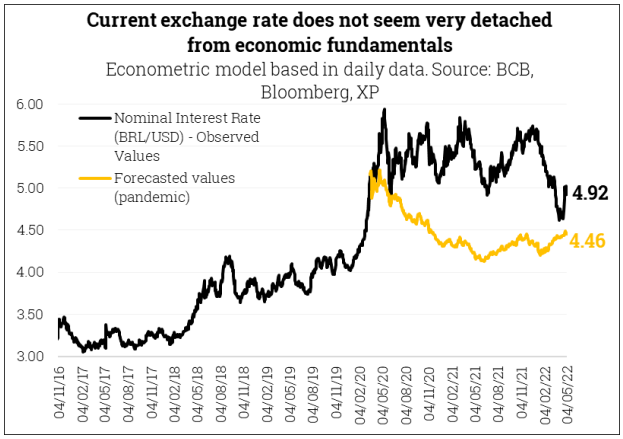
We remain comfortable with our forecast of R$5.00 for the end of 2022, recognizing that we may experience volatility arising from the war and elections. **For 2023, we keep our expectation of R$5.30 for the end of the period.**

Balance of Payments remains in a comfortable position in 2022.

Trade balance results remain robust. We adjusted our trade balance forecasts to incorporate new assumptions for Brazilian and international economic growth, as well as new future prices for commodities. Exports reached in Jan-Apr the highest level in the historical series, on a daily average basis.

Commodities remain the main driver. Trade surplus reached US$ 11.8 billion in the first quarter, as a result of 30% increase in exports and 27.1% in imports. In exports, commodities were the main driver: Soybean and oil increased their values in 78% and 50%, respectively, while iron ore lost 32%.

For the year, we remain optimistic and project a record trade balance of US$ 64.6 billion, as a result of the variation in 17.4% of exports and 20.8% of imports. For 2023, the expected balance is US$ 47 billion.



For the rest of the Balance of Payments, we made only minor adjustments to our numbers. The current account balance for 2022 was revised to a deficit of US$ -20.7 billion (1.2% of GDP), from US$ 19.6 billion (-1.1% of GDP) last month. For 2023, we forecast a deficit of US$ 36,3 billion (2.0% of GDP). In the financial account, we kept our FDI forecast at US$55 billion (3.1% of GDP) in 2022 and US$60 billion (3.6% of GDP) in 2023.

Public Accounts – Improvement in the short term does not ensure fiscal sustainability

The March fiscal results were in line with expectations. Collection continues to show growth supported by higher inflation and improvement in economic activity in the short term. Taxes on net profits (IRPJ and CSLL) and on labor income and payroll (IRRF-Labor and net collection for the RGPS) have shown consistent growth in the first months of this year. On the expenditure side, the growth seen in March was largely due to the payment of the salary bonus, whose disbursement calendar was changed last year. The main budget expenses, such as social security and personnel benefits and charges, showed a lower growth or even a reduction in real terms.

Changes in the macroeconomic scenario raised our revenues forecast this year... The revision of our scenario, especially in the estimates of economic activity growth from 0% to 0.8% and inflation from 7.0% to 7.4%, led to an increase in our forecast of central government revenue by approximately R$17.8 billion, with emphasis on IRPJ and CSLL, withholding labor income tax and social security revenues. After deducting legal and constitutional transfers, revenue grew by R$11.3 billion.

... but there was a new reduction in the IPI... The government recently announced an additional 10% cut in the industrial production tax (IPI) rates on various goods, accumulating a 35% reduction since the beginning of the year, except for automobiles, which maintained the initial cut of 18.5%, and cigarettes, which had no reduction. This measure should cause an additional drop of R$ 5.4 billion in the IPI, with a net impact of R$ 2.2 billion for the Union.

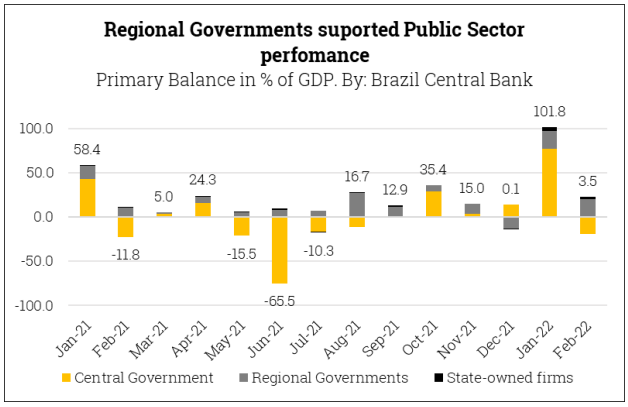
... and new expenses outside the cap. We revised our forecast for extraordinary credits, which by March had already reached R$11 billion and should continue at a similar pace in the coming months. Additionally, we updated our Fundeb complementation forecast in view of our new macroeconomic scenario.

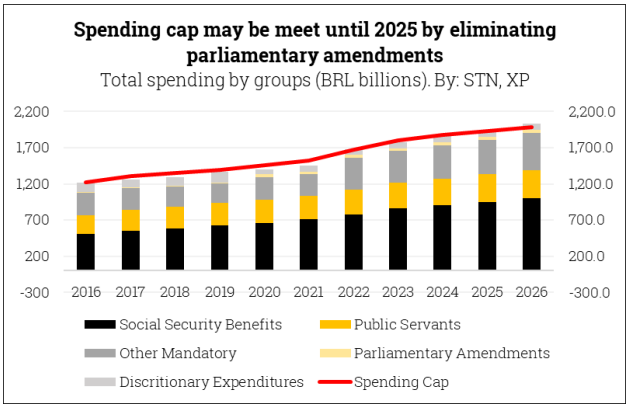
Thus, we project the Central Government deficit this year at R$ 31.6 billion (-0.3% of GDP).

Regional governments continue with a positive performance. With the release of late February data, regional governments maintain an accumulated surplus of R$ 40.1 billion in the year. The trend should continue in the first half of the year, although we expect some acceleration in expenses (which did not happen in the first months of the year). **As a result, we expect a surplus of R$22.7 billion for the public sector this year.**

Public debt falls this year but faces increasing interest rates. With some economic growth and a better primary budget balance, public debt should fall a little more this year compared to what we expected in last month´s report (79.5% from previous 79.9%). On the other hand, the interest account begins to have a greater weight, reaching 7.8% of GDP at the end of this year.

In the medium term, uncertainties increased. The granting of new revenue exemptions, the incorporation of the "Auxílio Brasil" program with a higher value to the budget on a permanent basis, and the approval of new expenses make the fiscal scenario for the coming





years even more uncertain. In the following table, we provide a summary of the main measures under discussion.

Description	Impact (R$ Billion) 2022	2023	2024	Legal Reference	Current Stage
Tax Breaks	**40,6**	**56,3**	**59,1**		
Small business tax regime debt negotiation	0,5	0,5	0,5	Complementary Law nº 193/2022	In force
IPI tax reduction	21,6	27,1	28,7	Law nº 11.047/2022	In force
Events sector emergency program (PERSE)	1,6	1,7	1,8	Partial veto nº 19/2021. Law nº 14.148/2021	Enacted, previously vetoed
Ports structure modernization tax regime (Report	0,3	0,4	-	Law nº 14.301/2022	Enacted, previously vetoed
Diesel exemption	16,6	-	-	Complementary Law nº 192/2022	In force
Income tax brackets' increase	-	26,7	28,2	Bill nº 2337/2021	Under discussion
Expenditures	**30,6**	**35,8**	**33,9**		
Paulo Gustavo law	3,9	-	-	Complementary bill 73/2021	Vetoed by Executive Power
Aldir Blanc 2 law	3,0	3,0	3,0	Bill nº 1.518/2021	Vetoed by Executive Power
Community health servants' minimun wage	3,7	3,8	4,0	Constitution bill nº 11/2011	Approved. To be enacted
Federal subsidy to public transport	5,0	5,0	5,0	Bill nº 4.392/2021	Approved by the Chamber of Deputies. Pending in the Senate
Events sector emergency program (PERSE)	-	2,5	-	Law nº 14.148/2021	Enacted, previously vetoed
Health sector financial aid ("Santas Casas)	2,0	-	-	Bill nº 14.147/2021	Approved by the Senate. Pending in the Chamber of Deputies
Nurses' minimun wage	0,5	0,5	0,5	Bill nº 2.564/2020	Approved. To presidential sanction
Civil servants benefits	4,5	4,7	4,9	Constitution bill nº 63/2013	In progress in the Senate
5% linear public servants wage increase	8,0	16,3	16,5	Under discussion	Under discussion
Total	**71,2**	**92,1**	**93,0**		

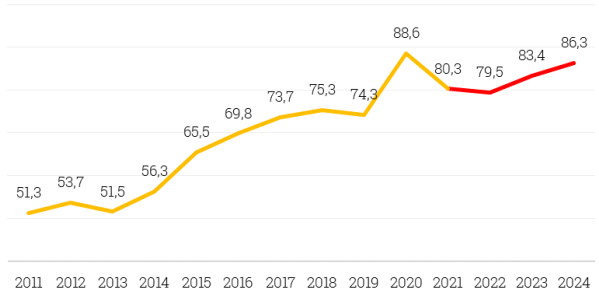
Spending cap under pressure in the coming years. We expect that it will be possible to meet the spending cap in its current form by 2025 and, with some adjustments (such as the end of parliamentary amendments) by 2026. Political data from various sides of the presidential election is also a matter of concern.

Public debt should climb in the coming years. With the increase in the cost of public debt due to the rise in interest rates (and its maintenance at higher levels for longer) and lower growth, the debt is expected to grow again in the coming years, rising to 86.5% in 2024 and does not stabilize on the horizon of our analysis.

Thus, despite the better results in the short term, fiscal sustainability has not yet been achieved.

Fiscal sustainability has not yet been achieved despite better results in the short term

General Government Gross Debt (%GDP). Source: BCB, XPI



Monetary Policy – Tightening cycle to continue in June

The central bank is targeting interest rates between 13.25% and 13.50%. The Copom raised the Selic rate to 12.75% in May and signaled that an adjustment of "lower magnitude" in June is "likely". Thus, Copom's flight plan seems to imply a terminal Selic of 13.25% / 13.50%.

However, we believe the outlook for inflation will remain challenging due to both external (war, lockdowns in China) and domestic (still strong demand, negative fiscal agenda in the Congress).

On this backdrop, inflation readings are likely to remain under pressure and expectations for 2023 should continue to rise in the coming weeks. It may eventually lead Copom to adjust its flight plan.

Thus, we keep our forecast of a terminal Selic rate at 13.75%. In our view, the Copom can reach this level with two additional hikes of 50 bps in June and August, or with the Copom becoming convinced that a 100bps hike in June is more appropriate to bring inflation back to target (our baseline scenario).

Easing cycle only after 2023Q1. This level (around 13.75%) should be maintained for a while in order to guarantee the convergence of inflation. Our models suggest up to the first quarter of 2022. From then on, with the Copom focusing on 2024, we see room for a gradual

normalization of interest rates, up to around the level that we consider the "equilibrium", of between 7% and 8%, in mid-2024.

XP Forecasts	2018	2019	2020	2021 (F)	2022 (F)	2023 (F)
GDP growth (%)	1.8	1.2	-3.9	4.6	0.8	0.5
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	10.0	9.6
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	7.4	4.0
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	8.75
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.00	5.30
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.5	0.7	0.2	-0.2
Gross debt (% GDP)	75.3	74.3	88.8	80.3	79.5	83.6
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	64.6	47.0
Exports (USD Bn)	231.9	221.1	209.2	280.8	329.7	333.4
Imports (USD Bn)	185.3	185.9	158.8	219.4	265.1	286.4
Current Account (USD Bn)	-51.5	-65.0	-24.5	-28.1	-20.7	-36.3
Current Account (% GDP)	-2.7	-3.5	-1.7	-1.7	-1.2	-2.0
FDI (USD Bn)	78.2	69.2	44.7	46.4	55.0	65.0
FDI (% GDP)	4.1	3.7	2.9	2.9	3.1	3.5
Nominal GDP (USD Tri)	1.80	1.83	1.43	1.55	1.90	1.88
Nominal GDP (BRL Tri)	7.00	7.38	7.46	8.67	9.48	9.95

Source: IBGE, BCB, Bloomberg, XP.

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